AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

APRIL/ MAY 2017

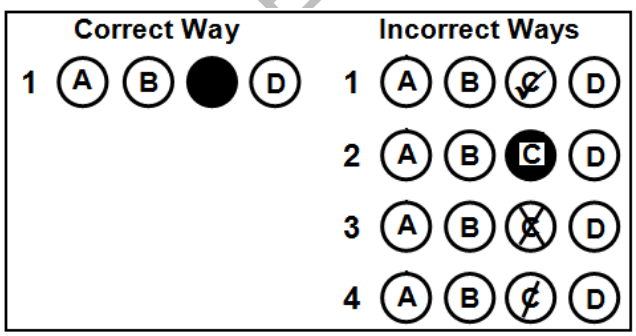
Principles of Accounting Paper I

Time: 35 minutes Marks: 25

EB May Examination 2017

INSTRUCTIONS

1. Read each question carefully.
2. Answer the questions on the separate answer sheet provided. DO NOT write your answers on the question paper.
3. There are 100 answer numbers on the answer sheet. Use answer numbers 1 to 25 only.
4. In each question there are four choices A, B, C, D. Choose ONE. On the answer grid black out the circle for your choice with a pencil as shown below.



Candidate's Signature

5. If you want to change your answer, ERASE the first answer completely with a rubber, before blacking out a new circle.
6. DO NOT write anything in the answer grid. The computer only records what is in the circles.
7. You may use a simple calculator if you wish.
8. Wherever new terminologies are mentioned their old terminologies are mentioned in the brackets for your assistance.

1. The following details have been extracted from the books of Aleem and Company on December 31, 2015.

Particulars	Amount (Rs)
Trade receivable (accounts receivables)	200,000
Allowance (provision) for bad debts	20,000

On December 31,2015, the company decided to revise the rate of doubtful debts from 10% to 20%.

The adjusted journal entry to correct the amount of bad debts expense for the year will be

	Particulars	P.R.	Debit	Credit
A	Bad debts expense		20,000	
	Allowance for bad debts			20,000
B	Bad debts expense		40,000	
	Allowance for bad debts			40,000
C	Allowance for bad debts		20,000	
	Bad debts expense			20,000
D	Allowance for bad debts		40,000	
	Bad debts expense			40,000

AKU-EB May Examination 2017

2. Ms Munira purchased a water treatment plant for Rs 100,000 for her business. She paid the following expenses before using the plant.

Particulars	Amount (Rs)
Transportation charges	3,500
Installation charges	4,500
Insurance in transit	15,000
3 year fire insurance	25,000
Foundation charges	7,000

The total cost of the plant that will be recorded in the books of the business will be

A. Rs 108,000
B. Rs 123,000
C. Rs 130,000
D. Rs 155,000

3. The following data has been extracted from the books of Azra Enterprises.

- Trade receivables (accounts receivable) Rs 50,000
- Allowance (provision) for doubtful debts for the year Rs 1,000

The company's policy is to estimate allowance (provision) for doubtful debts @ 2% each year. It was found that bad debts for Rs 1,000 were not recorded in the books of accounts.

The total amount of bad debt and allowance (provision) for doubtful debt that will be transferred to the Income statement will be

A. Rs 980
B. Rs 1,000
C. Rs 1,980
D. Rs 2,000

4. Hashim and Sons purchased a machine with a list price of Rs 950,000. The estimated useful life of machine is 15 years. Business also incurred the following expenditures on the machine:

- Training of staff for machine operation Rs 25,000
- Installation charges paid to professional Rs 12,500
- Repair of part damaged during installation Rs 50,000
- Transportation expense to bring the machine Rs 25,000
- Premium paid for 3 year fire insurance policy Rs 75,000

The total capital expenditure incurred after the purchase of machine will be

A. Rs 62,500
B. Rs 87,500
C. Rs 125,000
D. Rs 187,500

AKU-EB May Examination 2017

5. On March 01, 2014, Aleem Enterprises purchased a machine with a list price of Rs 450,000, with the credit term of (5/10, n/30) and trade discount of Rs 20,000.

   If the company paid the amount on March 08, 2014, then the cost of the machine will be

   A. Rs 407,500
   B. Rs 408,500
   C. Rs 427,500
   D. Rs 430,000

6. On January 01, 2012, Beta Corporation purchased a machine for Rs 500,000 with an estimated life of 5 years. The company uses 30% diminishing balance method for charging depreciation and its accounting year ends on December 31 each year.

   On July 01, 2014, the business decided to exchange the machine with a new machine costing Rs 700,000, with agreed trade in allowance of Rs 200,000 for the old machine.

   The above exchange of machine will result in a

   A. loss of Rs 8,250
   B gain of Rs 8,250
   C. loss of Rs 28,500
   D. gain of Rs 28,500

7. Which of the following account head will NOT be closed at the end of the financial year?

   A. Bad debts
   B. Sales revenue
   C. Depreciation expense
   D. Allowance for depreciation

8. Rabia Enterprises have the following account balances on December 31, 2016.

Particular	**Amount (Rs)**	**Particular**	**Amount (Rs)**
Purchases	150,000	Transportation in	35,000
Inventory (Stock) opening	12,000	Inventory (Stock) ending	15,000
Purchase return	8,500	Purchase discount	7,000

   The amount of net purchases for Rabia Enterprises will be

   A. Rs 134,500
   B. Rs 143,000
   C. Rs 150,000
   D. Rs 169,500

AKU-EB May Examination 2017

9. On April 01, 2014, Ms Ammara paid Rs 72,000 for advertising her new product for twelve months. Her accounting period ends on June 30 each year.

The amount of advertisement expense shown in the Income statement of Ms Ammara for the year ended 2014 will be

A. Rs 6,000
B. Rs 18,000
C. Rs 54,000
D. Rs 72,000

10. The closing entry for sales revenue account will be

	Particulars	P.R.	Debit	Credit
A	Sales revenue		XXX	
	Purchases			XXX
B	Sales revenue		XXX	
	Expense and revenue summary			XXX
C	Expense and revenue summary		XXX	
	Sales revenue			XXX
D	Purchases		XXX	
	Sales revenue			XXX

AKU-EB May Examination '17

11. The following balances are extracted from the books of Al-Hamra Traders

- Salary expense Rs 15,000
- Accrued rent Rs 25,000
- Insurance expense Rs 45,000

The data for adjustment shows insurance expense for the year Rs 25,000

The adjusting entry for insurance expense at the end of the year will be

	Particular	P.R.	Debit	Credit
A	Insurance expense		20,000	
	Insurance payable			20,000
B	Prepaid insurance		20,000	
	Insurance expense			20,000
C	Insurance payable		20,000	
	Insurance expense			20,000
D	Insurance expense		20,000	
	Prepaid Insurance			20,000

12. In single entry system (incomplete records), the Statement of financial position (Balance sheet) is known as

A. income statement.
B. statement of affairs.
C. cash flow statement.
D. statement of changes in equity.

AKU-EB May Examination 2017

13. Following are the account details of Sajida Traders.

Particulars	January 01, 2015	December 31, 2015
Trade receivables (accounts receivable)	Rs 120,000	Rs 90,000
Cash received from customers		Rs 780,000
Sales returns from credit customers		Rs 29,600

The net amount for credit sales for the year ended December 31, 2015 will be

A. Rs 720,400
B. Rs 779,600
C. Rs 839,600
D. Rs 960,400

14. The following balance has been extracted from the books of Munir Limited.

Particulars	Amount (Rs)
Capital opening balance	55,000
Capital closing balance	80,000
Additional investment during the year	42,000
Drawing during the year	5,000

The net profit/ loss for the accounting year from the above information will be

A. Rs (72,000)
B. Rs (12,000)
C. Rs 62,000
D. Rs 97,000

15. The difference between the selling price and the cost of goods and services is considered as

A. margin.
B. interest.
C. mark up.
D. net profit.

AKU-EB May Examination 2017

16. In the books of Allauaddin Associates, the salary paid to a staff member was shown as Rs 700 instead of Rs 7,000.

The corrected journal entry to rectify the above error will be

	Particulars	P.R.	Debit	Credit
A	Salary expense		7,000	
	Cash			7,000
B	Salary expense		7,000	
	Salary expense payable			7,000
C	Salary expense		6,300	
	Salary expense payable			6,300
D	Salary expense		6,300	
	Cash			6,300

AKU-EB May Examination 2017

17. Mr Saleem is an accountant in Amin Traders. He receives a payment of Rs 10,000 from a customer but the customer has not specified which open invoice he intend to pay.

At the time of compilation of accounts, a suspense account will be formulated until the payment is ascertained. Which of the following general journal entries will be posted for this purpose?

	Particular	P.R.	Debit	Credit
A	Suspense account		10,000	
	Account receivable			10,000
B	Account receivable		10,000	
	Suspense account			10,000
C	Suspense account		10,000	
	Cash			10,000
D	Account payable		10,000	
	Profit and loss account			10,000

AKU-EB May Examination 2017

18. Ms Anusha is an accountant in Alpha Traders. She receives a payment of Rs 25,000 from a customer but the customer has not specified which sales invoice they intend to pay.

The amount was temporarily parked to suspense account; meanwhile Ms Anusha enquired the customer about the sales invoice against which the payment was made.

The general journal entry to shift the payment from the suspense account to actual account head will be

	Particular	**P.R.**	**Debit**	**Credit**
A	Suspense account		25,000	
	Account receivable			25,000
B	Account receivable		25,000	
	Suspense account			25,000
C	Suspense account		25,000	
	Cash			25,000
D	Account payable		25,000	
	Profit and loss account			25,000

19. Which of the following errors requires a suspense account to balance the trail balance?

A. Principle error
B. Commission error
C. Compensating error
D. Partial Omission error

20. Mr Aslam wrongly posted the amount paid for whitewashing the office building walls in the office building account instead of repair and maintenance account.

Such an accounting error will be classified as

A. error of principle.
B. error of commission.
C. error of original entry.
D. error of complete reversal.

AKU-EB May Examination 2017

END OF PAPER

21. During the year 2014, Ali Sports Club received Rs 36,000 as subscription fee from its members. Other accounting information for subscription is as follows.

Particulars	January 01, 2014	December 31, 2014
Subscription in advance	Rs 3,000	Rs 4,000
Subscription in arrears	Rs 5,000	Rs 2,000

What is the amount of subscription income to be included in income and expenditure account for the year 2014?

A. Rs 32,000
B. Rs 36,000
C. Rs 40,000
D. Rs 41,000

22. A business organisation allows people to combine resources in order to achieve common goals and agrees to organise and operate for charitable mission only, as it wants to give benefit to the society in a tangible way.

The given characteristics of business organisation can be found in a

A. public corporation.
B. private corporation.
C. non-profit organisation.
D. multinational organisation.

23. The capital account of Non-Profit Organisation (NPO) is termed as

A. retained earnings.
B. authorised capital.
C. accumulated fund.
D. reserves and funds.

24. Judging from the types of organisations mentioned in the given options, identify which of the following is a Non-Profit Organisation (NPO).

A. Sahara Trust
B. Edhi Foundation
C. Aga Khan Development Network
D. House Building Finance Corporation

AKU-EB May Examination 2017

25. Orient Health Club, a Non-Profit Organisation (NPO), charged consultation fees for providing services to Al-Hamra Health Club.

The above mentioned activity which is not associated with the core activities of the NPO is termed as

A. ancillary activity.
B. chartered activity.
C. professional activity.
D. non-commercial activity.

AKU-EB May Examination 2017